

Entrepreneurship

Ch # 5 :-

Financial Literacy

Financial literacy refers to the ability to understand and effectively use various financial skills including personal, financial management, budgeting saving, investing and understanding financial products like loans, credit cards etc.

Basic Concept of income, saving and investments

Income :-

Income refers to the money received by an individual, business or government as a result of work, investments or other sources.

Types:-

(i) Earned Income

(ii) Passive Income

(iii) Capital Gains

(iv) Transfer Income.

Savings

Saving refers to the portion of income not spent on immediate consumption.

Saving instruments:-

- (i) Bank saving accounts
- (ii) Fixed deposits
- (iii) Certificate of deposit (CDs)
- (iv) Government bonds.

Investments:-

Investments is the allocation of money or capital to an asset venture or financial instrument with the expectation of generating future returns or growth.

Types:-

- (i) Equities (Stock)
- (ii) Fixed income instruments
- (iii) Real Estate
- (iv) Mutual Funds
- (v) Alternative investments.

* Basic Concept of assets, liabilities and equality

Assets:

Assets are resources controlled by an organization that are expected to provide future economic benefits.

Categories:

Assets can be classified into two main categories.

⇒ Current Assets

⇒ Non-current Assets.

$$\text{Assets} = \text{Liabilities} + \text{Equality}$$

Liabilities:

Liabilities are obligations that a company owes to external parties, arising from past transactions or events. These obligations often involve the transfer of money, goods, or services in the future.

Types:

⇒ Current Liabilities

⇒ Non-current Liabilities.

Equality:

Equality represents the residual interest in the assets of an entity after deducting liabilities.

It reflects the owner claim on the company assets and is often referred to as net worth or share-holder equality.

Components:

The components of equality are:

- ⇒ Contributed Capital
- ⇒ Retained Earnings
- ⇒ Other - Comprehensive Income

Conclusion:

The concepts of assets, liabilities and equality are the corner-stone of accounting and financial management.

They enable business to record transaction accurately, assess their financial position and make informed decisions.

Business owner should keep a finger on the pulse of three key components, their business assets, liabilities and equality.

Basic Concept of revenue and Expenses.

Revenue :

Revenue also referred to as sales or income, is the total amount of money generated by a company from its core business activities.

It represents the in-flow of resources resulting from the sale of goods, rendering of services, or other operations during a specific period.

Characteristics:-

- ⇒ Origin
- ⇒ Measurement
- ⇒ Timing

Types:-

- ⇒ Operating Revenue
- ⇒ Non operating Revenue.

Importance :-

Revenue is a key metric for assessing business performance, Decision Making.

Attracting Investors...etc

Expenses :

Expenses are the cost incurred by a business in generating revenue. They represent the outflow of economic resources and are essential for maintaining operations.

Characteristics :-

The characteristics of Expenses :-

- ⇒ Nature
- ⇒ Recognition
- ⇒ Matching Principle.

Types :-

Types of Expenses are:

- ⇒ Operating Expenses
Cost of Goods Sold
Selling, General and Administrative Expenses
- ⇒ Non-Operating Expenses
- ⇒ Capital Expenditures Vs Revenue Expenditures.

Importance of Expenses:-

1. Cost Control:

Minimizing un-necessary expenses improves profitability.

2. Resource Allocation:

Helps prioritize spending on high impact areas.

3. Financial Stability:

Avoids over-spending and ensures sustainable growth.

Overview of cash-flows:

Define:-

Cash-flows is the net amount of cash and cash equivalents being transferred in and out of a business during a specific period.

Types:-

The types of cash-flows are:-

- ⇒ Operating Cash flow
- ⇒ Investing Cash flows.
- ⇒ Financing Cash-flows.

→ (i) →

Operating Cash-flows:

A steady OCF means the business can cover its regular cost without external funding.

This represent cash generated or spent through daily business activities like sales and expenses.

$$\text{OCF} = \text{Net income} + \text{Non cash Expenses} + \text{changes in working capital}$$

—(ii)—

Investing Cash flows:

These are the inflows and out-flows of cash related to a company's investment in assets, such as purchasing or selling property, plants and equipment or investing in other companies.

Examples:-

- ⇒ Sales of property } Inflows.
- ⇒ Collection of loans }
- ⇒ Purchase of property } Out-flows.
- ⇒ Lending }

—(iii)—

Financing Cash flows:

These are the inflows and out-flows of cash related to a company's financing activities, such as borrowing money, repaying loans, issuing stock or paying dividends.

Example:

- ⇒ Issuance of Stock } Inflows
- ⇒ Borrowing }
- ⇒ Dividend payments } out-flows.
- ⇒ Debt payment }

* Overview of banking products including islamic modes of financing:

Islamic Modes of Financing:-

Banking products are financial services offered by banks to meet the diverse needs of individuals, businesses, and government.

These products can be broadly classified into traditional banking services and islamic financial products, which comply with shariah law.

Types of banking Products:-

The types of banking products are.

- ⇒ Traditional Banking Products
- ⇒ Islamic Banking Products
- ⇒ Conventional Banking Products

—(i)—

Traditional Banking Products:-

These are conventional financial instruments offered by banks to cater to various customer needs, including deposits, loans, and investment services.

—(Types)—

- ★ Depository Products
- ★ Credit products
- ★ Investment Products
- ★ Other services.

—(ii)—

Islamic Banking Products:

Islamic banking operates under shariah law, prohibiting interest (Riba), excessive un-certainty and investments in un-ethical activities.

(i) Profit and loss-sharing Models

- ⇒ Mudarabah
- ⇒ Musharakah

(ii) Trade Based

- ⇒ Murabaha
- ⇒ Istisna
- ⇒ Salam

(iii) Lease

- ⇒ Ijarah

(iv) Social and charitable

- ⇒ Qard Hasan
- ⇒ Waqf

(v) Takaful Islamic Insurance.

—(iii)—

Conventional Banking Products:

Conventional banking Products refer to the financial services and products offered by traditional banks and financial institutions.

These products typically involve interest based transactions and are governed by conventional banking regulations.

Examples:

- ⇒ Checking and saving accounts
 - ⇒ Loans
 - ⇒ Credit cards
 - ⇒ Fixed deposits
 - ⇒ Certificates of deposit (CDs)
-

★ Sources of funding for startups

Launching and scaling a startup requires capital, and entrepreneurs must choose from various funding sources tailored to their business needs, growth stage and financial goals.

Types:

Types of sources of funding for startups are:

- ⇒ Angel financing
- ⇒ Debt financing
- ⇒ Equity financing

— (i) —

Angel Financing:

Angel financing comes from high-net worth individuals commonly referred to as angel investors, who provide capital in exchange for equity or convertible debt.

Characteristics:

- ⇒ Investment size
- ⇒ Focus
- ⇒ Involvement

Advantages:

- ⇒ Flexible terms compared to institutional investors.
- ⇒ Access to an investor's expertise and network.
- ⇒ Quick decision-making compared to venture capital firms.

Dis-advantages:

- ⇒ Dilution of equity
- ⇒ Angels may exert significant influence over the business.
- ⇒ Limited funding capacity compared to venture capital.

—(ii)—

Debt financing:-

Debt financing involves borrowing money that must be repaid with interest, without giving up equity.

Characteristics:

- ⇒ Re-payment
- ⇒ Collateral
- ⇒ Suitability

Advantages:

- ⇒ Retention of ownership and control
- ⇒ Tax benefits from deductible interest payments.
- ⇒ Predictable repayment terms.

Dis-advantages:

- ⇒ Requires strong credit history or collateral
- ⇒ Financial strain from repayment obligations.
- ⇒ Risk of bankruptcy if unable to meet obligations.

—(iii)—

Equity Financing:

Equity financing involves raising funds by selling shares of the company. Investors gain partial ownership and share in the company's Profit and losses.

Characteristics:

- ⇒ Investors
- ⇒ Dilution
- ⇒ Exit strategy

Advantages :-

- ⇒ NO re-payment obligation or interest burden.
- ⇒ Access to experienced partners and networks.
- ⇒ Suitable for high risk ventures with uncertain cash-flow.

Dis-advantages.

- ⇒ Loss of full ownership and decision-making control.
- ⇒ Pressure to deliver high returns.
- ⇒ Complex legal agreement and compliance requirements.

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